why matters are not so simple. If what follows is complicated, trust me, it is. But pay attention, students, especially because it is about your money. I am sure you will understand.

How does the RBI generate surplus profits? We, of course, print the currency held by the public, as well as issue deposits (that is, reserves) to commercial banks. Those are our fixed liabilities. As we issue these liabilities, we buy financial assets from the market. We do not pay interest on our liabilities. However, the financial assets we hold, typically domestic and foreign government bonds, do pay interest. So we generate a large net interest income simply because we pay nothing on virtually all our liabilities.

Our total costs, largely for currency printing and banker commissions, amount to only about 1/7th of our total net interest income. So we earn a large surplus profit, more than almost the entire public sector put together, because of the RBI's role as the manager of the country's currency. This belongs entirely to the country's citizens. Therefore, after setting aside what is needed to be retained as equity capital to maintain the creditworthiness of the RBI, the RBI Board pays out the remaining surplus to the RBI's owner, the government.

The RBI Board has decided it wants the RBI to have an international AAA rating so that RBI can undertake international transactions easily, even when the Government is in perceived difficulty – in the midst of the Taper Tantrum, no bank questioned our ability to deliver on the FCNR(B) swaps, even though the liability could have been tens of thousands of crores. Based on sophisticated risk analysis by the RBI's staff, the Board has decided in the last three years that the RBI's equity position, currently around 10 lakh crores, is enough for the purpose. It therefore has paid out the entire surplus generated to the government, amounting to about Rs 66,000 crores each in the last two years, without holding anything back. This is of